Sōkyū-ō Sōba Zenshū

Complete Works of Old Man Sōkyū on Markets

宗久翁相場全集

Sōkyū-ō Sōba Zenshū

Complete Works of Old Man Sōkyū on Markets

The Collected Wisdom of Honma Sōkyū on Rice Trading

from the Edo Period of Japan

Posthumous manuscripts of

本間古作

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of Sakata, Dewa Province

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This is the first English translation of the *Sōkyū-ō Sōba Zenshū*. The translation was produced in two stages: first a character-by-character transcription of the Japanese woodblock print with confidence annotations, then an English translation from that transcription. Both the transcription and translation files are maintained alongside the original scans for full auditability.

This book is the second volume in the series, following *Sanen Kinsen Hiroku* (Three Monkeys Gold Spring Secret Record).

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Translator's Introduction

The *Sōkyū-ō Sōba Zenshū* (宗久翁相場全集), or "Complete Works of Old Man Sōkyū on Markets," is a collection of trading wisdom attributed to Honma Sōkyū (1724–1803), widely regarded as the most legendary rice trader in Japanese history.[1]

The text was compiled posthumously from Sōkyū's scattered manuscripts by the Meiji-era editor Hayasaka Hōzō, who collected, annotated, and published them as a two-volume work in 1910. Until that time, the writings had circulated only in hand-copied form, with the inevitable accumulation of errors and omissions.

Structure of the Text

The work is divided into two volumes:

- **Upper Volume** (上巻, *jōkan*): 73 chapters covering the fundamental principles of market trading—the psychology of crowds, seasonal patterns, position management, risk control, and the cultivation of the trader's mind.
- **Lower Volume** (下巻, *gekan*): 66 chapters covering practical techniques—calendar-based timing, specific price benchmarks, regional market relationships, and empirical data from the An'ei era (1772–1781).

Together the 139 chapters form a comprehensive manual of market wisdom that remains remarkably relevant to modern trading.

Key Concepts

Several principles recur throughout the text:

The overall trend (大勢, *taisei*)
: Never trade against the prevailing direction. Small fluctuations within a larger trend are noise; the trend itself is signal.

The three pivotal months (三位の月, *sanmi no tsuki*)
: January, May, and September mark the turning points of the market cycle. Major trend changes cluster around these months.

[1] *Translator's note:* Honma Sōkyū, also known by his given name Shingozaemon, traded rice at the Sakata, Ōsaka Dōjima, and Edo exchanges during the mid-Edo period. The Honma family of Sakata amassed one of the greatest fortunes in Japanese commercial history.

Three-tenths profit (三つ十分の極し)
: Take three-tenths of the available profit and consider it complete. Greed for the full ten-tenths leads to loss.

The three-test rule
: Neither bottoms nor ceilings are confirmed until tested three times. Only after the third test should one commit to a position.

Patience (辛抱, *shinbō*)
: The market rewards those who wait. Great opportunities come only once in three to five years.

A Note on the Text

Within each chapter, subsections marked *Seed* (種, *tane*) contain supplementary teachings—kernels of wisdom that elaborate on, contrast with, or distill the chapter's main point. These appear to be part of Sōkyū's original text. Numbered sections marked **(1)**, **(2)**, etc. denote sequential points within a teaching.

Two types of annotation appear in shaded boxes. Passages marked *Hayasaka's annotation* (校註) are notes by the 1910 editor Hayasaka Hōzō, who compiled and annotated the original manuscripts. These are part of the source text. Passages marked *Editor's note* are annotations by the present editor and translators, providing historical context or structural explanation. Footnotes marked *Translator's note* provide definitions and comparative observations.

—Zach Booth
March 2026

Part I

Upper Volume （上卷）

Chapter 1

Grain Is the Great Foundation of the Nation

第一章　水穀は國の大本なるの事

Of all the great treasures under heaven, nothing compares to rice and grain. Of all the things that sustain human life, nothing surpasses it. Therefore, anyone who wishes to master the way of the market must first understand the fundamental importance of grain.

One must grasp this principle, understand the essential purpose of the market, and only then study the methods of trading. Rice is the great foundation of the nation; the people of the realm depend upon it for their livelihood. The price of one *koku* (石) of rice rises and falls according to the quality of the harvest (豊凶 (*hōkyō*)). In years of abundance, prices are low; in years of famine, prices are high. This is the natural order of things. Yet the market, beyond this natural order, rises and falls greatly according to the inclination of popular sentiment (人氣 (*ninki*)). Through people's speculation, prices rise still higher when already high, and fall still lower when already low. This is what makes a market a market.

(1) Since the price of rice is thus determined by a combination of the natural principles of heaven and earth and the inclinations of popular sentiment, anyone who intends to trade must first understand these two principles.

In undertaking any trading, one must first assess the overall trend (大勢 (*taisei*)) of the realm. Is it a good harvest, or a poor one? What is the condition of the economy? What are the circumstances in the various provinces? One must observe all of these carefully and only then buy or sell. To trade without knowing the overall trend, relying only on the prices before one's eyes, is like a blind man walking a road in the dark of night.

(2) The market is the human heart. To see into people's hearts is the essential point of the way of the market. When everyone thinks of buying, the price of rice will certainly rise. When everyone thinks of selling, the price of rice will certainly fall. And yet, when everyone is buying, the ceiling is near; when everyone is selling, the bottom is near. Therefore, to go against the crowd's heart is the secret of the market.

> *Hayasaka's annotation (校註):* This chapter sets forth the fundamental principles of the market. The reader should savor its meaning well and apply it to the chapters that follow.

The way of the market is like water flowing to the lowest point. Water flows from high to low and naturally levels itself. The market is the same. When prices are high, they naturally fall; when prices are low, they naturally rise. He who understands this principle may be said to have grasped the way of the market. Yet people of the world do not understand this principle—they go on buying when prices are high and selling when prices are low. This is a great error.

In the market, there is a great upheaval within every three-year period. Taking three years as one cycle, there will be changes of harvest quality within that span. Know these changes, buy in abundant years when prices are low, and sell in famine years when prices are high. This is the great way (大道 (*taidō*)) of the market. Do not forfeit great profits by grasping at small ones.

Furthermore, in market trading, one must not listen to what others say. Think for yourself, judge for yourself, and decide for yourself. To trade by following what others say will certainly lead to failure.

The way of the market is deep and far-reaching. It cannot be mastered in a single morning or evening. One must cultivate it over years and months, studying day and night, before one can attain its subtlety.

Chapter 2

Do Not Buy Declining Grain at High Prices

第二章　下穀は高値にて買ふべからずの事

In trading, one must not buy declining grain (下穀 (*shitakoku*)) at high prices. "Declining grain" refers to rice whose price is falling. When the price of rice has dropped, everyone is frightened and wants to sell. To buy at such a time is like catching a falling blade with one's bare hands.[1]

(1) To "buy declining grain at high prices" means to see a slight rally in the middle of a falling market, think that the bottom has been reached, and rush in to buy. This is a great error.

In a falling market, even if prices rise slightly, they will immediately fall again. Therefore, to see a small rally and think the bottom has been reached is a great misunderstanding. Before concluding that a bottom has been reached, one should wait through three tests, and only then make a determination.

The price hits a bottom and rises, then falls again without breaking the previous bottom, and rises; then falls again without breaking the previous bottom, and rises. When the bottom has been tested three times in this way without breaking, then for the first time one may know the bottom is firm. This is the time to buy.

> *Hayasaka's annotation (校註):* This chapter is related to what is known as the method of the "three rivers" (三川 (*sankawa*)), a foundational pattern in Japanese candlestick analysis.

Therefore, declining grain should be bought only after the firmness of the bottom has been confirmed. One must not buy in haste at high prices. If one buys in haste, one will certainly incur losses. Patience (辛抱 (*shinbō*)) is the first principle of the way of the market.

[1] *Translator's note:* The Japanese is 落つる刃を手にて受くるが如し—literally "like receiving a falling blade with one's hands." This metaphor, which Sōkyū uses three times throughout the text (Teachings 2, 68, and Lower 17), predates by well over a century the modern Wall Street adage "don't catch a falling knife." Whether the Western saying derives from the Japanese trading tradition or arose independently is unknown, but Sōkyū's use of it in the late eighteenth century is among the earliest known applications of this image to financial markets.

Chapter 3

Do Not Plunge Headlong into Greatly Risen Grain

第三章　引は大穀の説大中へ飛込む心の事

When one sees rice that has risen greatly in the market and thinks "I too shall buy," plunging in to purchase it—this is a great error. That which has risen greatly will certainly fall greatly.

(1) Everyone, seeing that prices have risen greatly, thinks they will rise still further and plunges in to buy. This is foolishness. What has risen will fall, and what has fallen will rise. This is the natural principle of the market.

To see rice that has greatly risen and think in one's heart, "it will surely rise further"—this is human nature. And yet, this is the market's great enemy. After a great rise, there will certainly be a fall; therefore this is a time for selling, not a time for buying.

Yet people of the world, not knowing this principle, buy when prices have risen greatly and sell when prices have fallen greatly. This is the reason they lose in the market. This principle must not be forgotten.

Chapter 4

Seasonal Patterns and Crowd Psychology

Teaching 4: The Spirit of Riding the Crowd's Momentum Upward

第四章　人心に上りの勢津中へ大人なる心の事

In the market, it is essential to understand where the hearts of the crowd are heading. When the crowd's heart all thinks prices will rise, the market has already reached near the ceiling (天井 (*tenjō*)). When the crowd's heart all thinks prices will fall, the market has already reached near the bottom (底 (*soko*)). He who understands this principle and goes against the crowd's heart is the one who wins in the market.

When the price of rice has risen greatly and everyone, thinking it will rise still further, scrambles to buy—the market will certainly fall before long. He who at this time makes his heart bold and tries to buy will incur great losses.

Seed:[1] In a rising market, to ride the crowd's momentum and buy is the same as buying the ceiling. He who buys the ceiling will certainly suffer great losses. Therefore, when everyone is buying in a rising market, that is precisely the time to sell. This principle is the secret of the way of the market; engrave it deeply upon your heart.

[1] *Translator's note:* Throughout the text, sections marked *Seed* (種, *tane*) denote supplementary teachings within a chapter. The character 種 literally means "seed"—a kernel of wisdom planted for the reader to cultivate. These sections sometimes elaborate on the main teaching, sometimes offer a contrasting perspective, and sometimes state a rule in its most condensed form. They function somewhat like marginalia or glosses in Western manuscripts, and appear to be part of the original text rather than later additions by the editor.

Teaching 5: The Winter-to-New-Year Rice Market

第五章　冬より正月迄相場合米の事

From winter through the New Year, the rice market generally rises. The reason is that winter is the season when demand for rice increases, and moreover the consumption of rice and grain is heavy due to New Year's celebrations and the like.

(1) Therefore, one should buy and stock up from around October, and sell when the New Year arrives. This is the normal way of the winter-to-New-Year market.

However, depending on the year, there are exceptions to this rule. In the year following a famine year, prices may still be high even into spring. In the year following an abundant year, prices may not rise even in winter. Knowing these exceptions is also essential.

> *Hayasaka's annotation (校註):* "New Year" here refers to the period from December 28th through January 15th.

Thus, understand that the winter-to-New-Year market normally rises, and stock up from around October. However, as noted previously, there are exceptions depending on the year, so one should assess the overall trend (大勢, *taisei*) before committing.

Teaching 6: Markets that Fall Sharply

第六章　急に下げ値にても相場の事

When the market has fallen sharply, everyone is frightened and sells. Yet that which has fallen sharply may also rise sharply again. After a crash comes a rebound. He who understands this principle should buy without fear at the time of a crash.

(1) However, among sharp declines there are both genuine declines and temporary declines. A genuine decline is driven by the overall trend of the realm, and the rebound is small. A temporary decline is driven by the wavering of crowd sentiment (人氣, *ninki*), and prices return quickly. To distinguish between these two is essential.

Teaching 7: The Misfortune of a Winter-to-New-Year Ceiling Followed by Falling Prices

第七章　冬より正月迄天井落値の不首尾の事

It sometimes happens that the market reaches its ceiling from winter through the New Year, and thereafter begins to fall. Such a case is called 不首尾 (*fushubi*) (failure, misfortune). That is, positions bought during winter fail to rise after the New Year has passed, and instead begin to fall.

The causes of this failure are various, but it most often occurs in years of good harvests. In years of good harvests, rice continues to come to market abundantly even in winter, and after the New Year passes, even more comes to market; therefore the price hits its ceiling and falls.

Therefore, in the winter market, one must carefully assess the harvest quality of the year, then commit. In an abundant year, the ceiling may come early, and the trade may end in failure. This principle must not be forgotten.

Any trade that ends in failure (不首尾, *fushubi*) should be cut quickly. If one clings to it and holds on, losses only grow larger.

Teaching 8: The Price Decline of July through October

第八章　七、八、九、十月茶落値下げの事

From July through October, rice prices generally fall. This is because it is the season when new-crop rice comes to market, and the supply of grain is abundant. August and September in particular are when early-harvest rice first comes to market, and prices decline. To buy during this season is a very dangerous thing.

(1) During the months of July, August, September, and October, one should not buy rice. Since it is the time when new-crop rice comes to market, it is the natural order for prices to fall. However, in years of famine, this rule does not apply. In famine years, the supply of new-crop rice is small, and prices do not fall—indeed they may rise.

Chapter 5

Being Prepared for Failure

第九章　不首尾覺悟の事

In the market, it is essential to be prepared (覺悟 (*kakugo*)) for failure (不首尾 (*fushubi*)). The market moves according to the time of heaven, the advantage of the ground, and the harmony of men—and there is much that lies beyond human power. Therefore, no matter how much wisdom one exhausts or how much ingenuity one devises, it is impossible to win at all times.

When a trade fails, one should quickly cut one's losses. To stop with a small loss is the way to prevent a great loss.

(1) When one has lost in the market, do not lose heart; calmly consider the causes. The same applies when one has won. Consider why one won. He who knows the causes of victory and defeat will certainly have an advantage in the next contest.

Furthermore, when a trade fails, one should rest for a while. During a losing streak, the mind becomes disordered and one often misjudges. Rest, calm the mind, and only then begin anew.

Seed: The market is patience (辛抱, *shinbō*). The patient will certainly win; the impatient will certainly lose. This one thing—engrave it well upon your heart.

Victory and defeat in the market depend largely upon the mandate of heaven. One should approach the market with the mindset of doing everything humanly possible and then awaiting heaven's decree. He who rushes to win will certainly lose; he who fears losing will also lose. To approach the market with an ordinary mind—this is the ultimate secret of the market.

Furthermore, in the market, capital management is essential. One must not trade with one's entire fortune. To trade with one-tenth is considered good. Even if one meets with failure, one can recover and start again.

Even in a small trade, one must not bet large capital. *Haru* (張る) means to wager—to commit large sums. To commit large sums for the sake of a small profit is like using a golden fishing rod to catch a sea bream. The profit is small and the danger is great.

Seed: The first principle of trading should be: above all, do not incur losses. To put gaining profit first and preventing loss second is to have one's priorities inverted. First prevent loss, then seek profit. This is the true way (正道 (*shōdō*)) of the market.

A farmer does not stop plowing his fields even after a small poor harvest. Within twelve or thirteen years, there will be one great bumper crop. The market is the same. Within three to five years, there will certainly be one great opportunity. Do not let this opportunity escape—seize your profit.

Seed: Within a twelve- or thirteen-month period, major upheavals are normal. Between January and March, and between July and September—these two periods are when major upheavals most often occur. Pay attention during these periods, watch for the moment, and act.

In the market, one must know the time of heaven, discern the harmony of men, and understand the advantage of terrain—only then can one win. "The time of heaven" means the changes of harvest quality. "The advantage of terrain" means the price differences between regions. "The harmony of men" means the inclinations of popular sentiment. He who combines knowledge of all three will face a hundred battles without danger.

This is the ultimate meaning of the chapter on being prepared for failure. Engrave it well upon your heart.

Furthermore, in trading, do not listen to the opinions of many people. If you listen to the opinions of many, your mind will be confused and you will be unable to make decisions. Trust your own judgment and act decisively.

The market is a solitary path. He who walks with the crowd cannot win in the market. Only he who walks the path the crowd does not walk will gain profit.

Furthermore, as a principle of trading, it is precisely when one has won that one should exercise caution. To bet heavily on the heels of a victory is the foundation of defeat. When you have won, hold back a little; when you have lost, rest. This is the ultimate secret of the market.

Additionally, the following principles of trading are here recorded:

1. Before entering the market, determine the conditions for retreat.

2. Exercise restraint in pyramiding profits.
3. Rid yourself of the desire to capture a huge trade.
4. Cut losses quickly. Take profits slowly.
5. When your forecast proves wrong, correct it immediately.

He who observes these five rules will never suffer a great failure in the market.

The market is not a matter of intellect. It is a matter of the heart. He whose heart is right will gain profit; he whose heart is crooked will incur loss. If one understands this principle, one may be said to have passed the halfway point of the way of the market.

Seed: To trade, one must first know the art of war (軍法 (*gunpō*)). The market is a battle. "He who knows the enemy and knows himself will face a hundred battles without danger." The enemy means the movement of the market; the self means one's own capital and strength of heart.

One must not fight battles that exceed one's strength. To wage a great contest with small capital will certainly end in defeat. Fight battles suited to your strength, and do not attempt the impossible.

In the market, it is better to accumulate many small victories than to win one great victory. He who tries to win big all at once will lose big all at once. Accumulate small profits to build great profit. This is the true way of the market.

Thus the chapter on being prepared for failure sets forth the fundamental principles of the trading mindset.

In the market, to win is heaven's decree; to lose is also heaven's decree. Yet to leave matters to heaven's decree without exhausting human effort is not the way of the market. Study the teachings of this book thoroughly, accumulate practice and training, and only then approach the market. This is both the beginning and the end of the way of the market.

This one chapter—let all who aspire to the market read it with care.

And moreover, even if one watches the market for eight or nine months and takes a profit, one should still discern where the momentum has changed.

Chapter 6

Trend, Position, and Timing

Teaching 10: The Market's Rises and Falls Following the Overall Trend

第十章　現場は上下大勢の事

The rises and falls of the market depend on the overall trend (大勢, *taisei*). The overall trend is the combined picture of the economy of the realm, the harvest quality of rice, the conditions in the various provinces, and so forth. One must not be captivated by small fluctuations, but should assess the overall trend and trade accordingly.

(1) When the overall trend is upward, prices will still rise even if they fall slightly. When the overall trend is downward, prices will still fall even if they rise slightly. He who misjudges the overall trend cannot win in the market.

Do not let two or three days' fluctuations move your heart. Look at the trend of one, two, three months and trade accordingly. To chase small profits and lose sight of the overall trend is the constant error of the market trader.

Teaching 11: Averaging Down When Prices Move Against You

第十一章　行相違平割段の事

In the market, it sometimes happens that the price of rice one has bought falls contrary to one's expectations. At such times, one may buy more at the lower price to bring down the average. This is called 行相違平割 (*yukisōi hirawari*) (averaging down against an adverse move).

For example, if one bought rice at thirty-five *monme* (匁) and the price fell to thirty-three *monme*, one buys more at thirty-three *monme*. The average then becomes thirty-four *monme*, and one gains a profit if the price rises above thirty-four *monme*.

However, this method should be used with caution. If one uses this method during a period when the overall trend is downward, losses will only grow larger. Use this method only when the bottom is firm.

> *Hayasaka's annotation (校註):* This is what is called today the method of "averaging down" (難平均 (*nanpinkin*)). In the original text from the Bunka era, it reads "to level out an adverse move."

In a consolidation, keep your mind calm and set a limit of six months. If the price has not risen within that time, cut your losses and exit. Do not wait too long and let losses grow.

Seed: When prices have moved against you, first assess the overall trend. When the trend is upward, average down and wait. When the trend is downward, cut losses quickly and exit. To distinguish between these two situations is essential.

Furthermore, do not average down in large increments all at once. Buy more in small amounts. If you buy a large amount all at once, you will have no reserve strength to buy more if prices fall still further.

Teaching 12: The Three Pivotal Months and Extending Momentum

第十二章　三位青月延勢の事

The "three pivotal months" (三位の月 (*sanmi no tsuki*)) are January, May, and September. These three months are the times when the market moves greatly and the overall trend undergoes a shift. *Ensei* (延勢, extending momentum) means the extension of a trend—when upward momentum or downward momentum continues without stopping.

(1) At these three pivotal months, one should assess the overall trend and trade accordingly. January is influenced by the momentum carried over from winter; May is influenced by the momentum of spring; and September is influenced by the momentum of summer.

Seed: To know the three pivotal months and determine whether extending momentum is present or absent—this is the essential point of the way of the market. If extending momentum is present, ride that momentum and take your profit. If extending momentum is absent, keep your hands out of the market.

Furthermore, the duration of extending momentum should be reckoned in three-month cycles. If the direction of momentum has not been established within three months, wait for the next pivotal month.

January is the time for buying. Rice that bottomed out during winter often begins to rise from January. May is the time for the ceiling. Rice that rose during spring often hits its ceiling around May. September is the time for the bottom. Rice that fell during summer often hits its bottom around September.

Seed: Since January, May, and September are the turning points of the market, pay attention during these seasons and assess the overall trend. To know the three pivotal months is a matter of great importance in the way of the market.

Teaching 13: The Winter Ceiling and June Decline

第十三章　冬相天井六月下げの事

That the market reaches its ceiling (天井, *tenjō*) in winter and declines by June is the normal course of the market. In winter, demand for rice is high and inventories are low; therefore prices rise. However, by May and June, new wheat begins to come to market, and the prospects for early-harvest rice become clear as well—and so the price of rice falls.

(1) Knowing this principle, sell at the winter ceiling and buy at the June bottom. This is the great way of the market. However, in some years this rule does not hold. In famine years, prices may continue to rise beyond the winter ceiling. Know these exceptions as well.

Furthermore, the winter ceiling is most often reached in December or January. The June bottom is most often reached in late May or early June. Know these seasons and set the timing of your trades accordingly.

Teaching 14: Entering in Two Parts and Taking Three-Tenths as Full Profit

第十四章　二つ仕掛三つ十分の極しの事

When entering a position (仕掛 (*shikake*)), one should divide it into two parts. To enter with one's full strength all at once is a great error. First enter with one of the two parts, observe the market's movement, and only then enter with the remaining part.

"Three-tenths as full" (*mittsu jūbun no kiwameshi*) means taking three parts of profit and counting that as ten parts—that is, full. In other words, do not try to take ten-tenths profit; be satisfied with three-tenths. If you try to take ten-tenths profit, you may instead lose your gains. Be content with three-tenths profit, and yield the remaining seven-tenths to others.

(2) Enter small, take profit thick. This is the cardinal principle of the market. To enter big and take a small profit is highly dangerous with little gain. To enter small and wait for profits to grow is safe and yields great returns.

Furthermore, the timing of entry and the timing of exit (手仕舞 (*teshimai*)) are equally important. If you err in timing your entry, you incur losses; if you err in timing your exit, you forfeit profits. Enter with caution; exit with decisiveness.

When entering, enter at the time when you still think it is too early. When exiting, exit at the time when you still think it is too early. If you enter too late, profits will be small; if you exit too late, losses will be great.

Seed: The method of entering in two parts is a way to test whether one's forecast is correct or not. First enter with one part; if there is profit, add the remainder. If there is loss, stop with the smaller loss. He who follows this method will never suffer a great loss.

In taking profit, one must not act out of greed. The market is a public thing under heaven. To try to exhaust all profit for oneself alone is to go against the natural order. He who knows that three-tenths profit is enough will sustain himself in the market for a long time.

The purpose of this chapter is to teach restraint in entering positions, moderation in taking profit, and conservative trading. Engrave it well upon your heart.

Teaching 15: A Great Rise Being a Great Success

第十五章　高上は大首尾の事

Selling when prices have risen greatly and taking a large profit is called a *great success* (大首尾 (*ōshubi*)). A great success is what every trader desires, but it is not easily obtained.

Seed: To achieve a great success, one must first buy and stock up at the bottom, then hold for a long time and wait for the ceiling. To buy at the bottom, one must have the resolve to buy when everyone else is selling. To sell at the ceiling, one must have the resolve to sell when everyone else is buying. This is the secret of the great success.

However, identifying the ceiling is an extremely difficult task. One may sell thinking it is the ceiling, only for prices to rise further. At such times, be content with three-tenths profit as described before, and do not force yourself to capture the very top.

Furthermore, a market that has risen greatly may fall suddenly. At such times, exit quickly. A decline following a great rise is sharp and severe. If one hesitates and fails to exit, one will not only lose profits but may incur losses as well.

When one has achieved a great success (大首尾, *ōshubi*) in a rising market, one should exit immediately. If one clings to profits and fails to exit, one will instead incur losses. One should consider a single great success sufficient. To try to achieve a great success two or three times in succession is greed. The greedy will certainly fail. Do not forget this principle.

Chapter 7

Short Teachings on Market Patterns

Teaching 16: Markets That Top Out, Bottom Out, and Turn to Falling Prices

第十六章　天井底落値相場なる事

To identify the ceiling (天井, *tenjō*) and bottom (底, *soko*) is the ultimate secret of the way of the market. One sells thinking it is the ceiling, yet prices rise further; one buys thinking it is the bottom, yet prices fall further. This shows the extreme difficulty of identifying tops and bottoms.

(1) Three times the ceiling is tested without prices rising further; three times the bottom is tested without prices falling further. When this happens, the ceiling and bottom are confirmed. Wait for these three tests before trading.

Seed: A market that has hit its ceiling and turns to declining prices falls slowly at first, then sharply later. He who sells at the beginning of the decline earns great profit. He who sells at the midpoint earns little. He who sells at the end, when the bottom is already near, earns nothing. Therefore, in a falling market, it is essential to sell early.

Teaching 17: Five or Six Rallies During the July–August Decline

第十七章　七八月天建五六ダケ引立の事

July and August are the season when new-crop rice comes to market, so prices normally fall. However, during this time there are five or six rallies (引立 (*hikitate*)). A rally means a temporary rise in prices. There is a method for profiting by riding these rallies. However, since these rallies are temporary, one must not chase them too far.

(1) During the declining market of July and August, know that there will be five or six bounces, and at each bounce take a little profit. Do not try to take large profits.

Teaching 18: Extended Buying During Downward Momentum and Pullback

第十八章　十二三月延買下勢引上の事

From December through January, when buying on margin (延買 (*nobekai*)) amid downward momentum, one should wait for the opportunity to pull back upward. Even within a downtrend, when the bottom has been tested three times without breaking, that is a good opportunity for extended buying. If one buys at this time, prices often pull upward by the New Year.

However, in years when the overall trend is downward, this method may not work. Assess the overall trend before applying it.

Teaching 19: Buying in July–August, Carrying Over, and Reaching the Top by December

第十九章　七八月月越十二月を以て又天上りの事

This is the method of buying rice in July–August, carrying it over the months (月越 (*tsukigoshi*)) until December, and waiting for the ceiling. This method—buying at summer lows and selling at winter highs—can yield great profits. However, to carry a position for six months requires ample capital.

Furthermore, if prices fall during the carry-over period, do not lose heart—hold on.

Teaching 20: Carrying a Bottom Position Over the Year-End into the New Year

第二十章　底より越年正月の事

This is the method of buying at the bottom, carrying the position over the year-end, and taking profit in the New Year. Rice that bottoms at year-end often rises in January. This method involves buying during the cheap year-end period and selling during the high New Year period.

Therefore, during November and December, identify the bottom and buy. If prices rise in January, exit.

Teaching 21: Extended High Prices in a Rising Market

第廿一章　上相場長値の事

In a rising market, prices sometimes continue upward for an extended period. During such an extended rally (長値 (*naganei*)), one should not exit easily. An extended rally reflects strong momentum—even if prices fall slightly, they will rise again.

Seed: To know when an extended rally is ending, observe the change in crowd sentiment (人氣, *ninki*). As long as everyone wants to buy, the rally continues. When the crowd grows weary of buying, the rally ends.

Teaching 22: The Tenjin Standstill from January to March–April

第廿二章　正月より三四月迄天神持の事

From January through March or April, the market sometimes ceases to move. This is called the *Tenjin standstill* (天神持合 (*tenjin mochiai*)). During a Tenjin standstill, there is little profit in either selling or buying. At such times, keep your hands out of the market and wait quietly.

(1) After a Tenjin standstill, the market will certainly make a big move. Whether it moves up or down depends on the overall trend. If one catches this big move, one can earn great profit.

If you desire great profit, endure patiently during the standstill and ride the move when it begins. Piling up small trades during the standstill earns little profit while fees mount.

> *Hayasaka's annotation (校註):* The *Tenjin standstill* refers to the market stagnation around the time of the Ōsaka Tenjin festival.

Teaching 23: The May–June Settlement Month Decline

第廿三章　五六月節月場達下の事

May and June are settlement months (節月 (*setsugetsu*)), a time when the market tends to fall. Settlement months are the months for settling rice contracts; since positions held on margin must be settled, there is heavy selling.

(1) In May and June, wheat also comes to market, increasing substitutes for rice and reducing rice demand—so prices fall.

During this season, hold back on buying and look for opportunities to sell. However, in famine years, prices may not fall even in May–June. Assess the harvest quality of the year before acting.

Teaching 24: Achieving Great Success in a Rising Market

第廿四章　上相場の大首尾しの事

To achieve a great success in a rising market, buy at the bottom and hold through to the ceiling. Do not exit along the way. To exit satisfied with a small profit is to let the great success escape.

(1) However, since identifying the ceiling is extremely difficult, do not forget the principle of being content with three-tenths profit. Do not incur losses by trying to capture a great success.

Seed: Great success in a rising market depends on two things: patience (忍耐 (*nintai*)) and decisiveness (決斷 (*ketsudan*)). Patience is the power to wait for profits to grow. Decisiveness is the power to sell at the ceiling.

Teaching 25: The Principles and Rules of Position Management

第廿五章　仕合取込方理則の事

In managing positions, there is both *ri* (理, reason/principle) and *soku* (則, rule/method). *Ri* means judging by rational principle. *Soku* means acting according to established rules. He who possesses both reason and rules wins in the market.

(1) Reason alone without knowing rules, or rules alone without knowing reason—neither suffices. To know both together is the essential point of the way of the market.

Teaching 26: The Three Market Modes

第廿六章　三つ相場離□しの事

The market "separating into three" means the three forms: rising, falling, and consolidation (持合ひ (*mochiai*)). To distinguish among these three forms is a matter of great importance in the way of the market. When rising, buy; when falling, sell; when consolidating, rest. He who observes these three rules wins in the market.

Seed: This principle is simple in statement yet difficult in practice. The challenge lies not in knowing the three modes but in correctly identifying which mode the market is currently in. Study the overall trend, observe crowd sentiment, and only then determine the mode. He who acts on a wrong determination of mode will certainly incur losses.

Teaching 27: The True Third Wave and the Fourth–Fifth–Sixth–Seventh Waves

第廿七章　正三番違合四五六七の事

The "true third" (正三番 (*shō sanban*)) refers to the momentum shift at the third wave. The "four-five-six-seven" refers to the fourth, fifth, sixth, and seventh waves. The market moves up and down like waves, and to know the number of those waves is essential to the way of the market.

(1) At the third wave, there is sometimes a major move. The fourth and fifth waves bring smaller waves in succession. By the sixth and seventh waves, the momentum begins to wane. Know the movement of these waves and trade accordingly.

In the March market, watch the movement of the true third wave and then act. From April through July, ride the smaller waves and take profit little by little.

Chapter 8

The Trader's Discipline

Teaching 28: November Bottoms and Ceilings

第廿八章　霜月底天井の事

The frost month (霜月 (*shimotsuki*)—November) is the month when the market reaches either its bottom or its ceiling. This is the time when the year's harvest is determined and the outlook for the following year takes shape, and so the market may move greatly.

(1) In an abundant year, November marks the bottom. In a famine year, November marks the ceiling. Know this principle and pay attention to the November market.

A market that has bottomed in November will rise heading into the New Year. A market that has topped in November will fall heading into spring. This pattern is connected to the principle of the three pivotal months (三位の月, *sanmi no tsuki*) discussed in the preceding chapter; consider them together.

Teaching 29: Not Wagering Beyond One's Means

第廿九章　大金不相應勝負の事

In the market, one must not wage contests disproportionate to one's capital. He who commits large sums seeking a big win will certainly suffer a big loss. Wage contests suited to your strength.

(1) A contest disproportionate to one's means is like a man with the strength of ten waging a contest of a hundred. Such a man, upon a single failure, cannot recover. If you have the strength of ten, wage the contest of ten. This is the iron rule of the way of the market.

Do not borrow money to trade. Do not gamble your family estate on the market. Trade only with your surplus capital. Do not lose large sums and destroy yourself.

Teaching 30: The Outcome of Accumulating Buys During a Consolidation

第三十章　持合合買首尾の事

The method of gradually buying during a consolidation (持合, *mochiai*) is called 合買 (*gōgai*) (combined buying). During the consolidation, buy at the low points and sell a little at the high points. This method accumulates small profits over time.

(1) If the market breaks upward after the consolidation, one earns great profits. But if it breaks downward, one may incur losses. Therefore, during a consolidation, buy only gradually—do not commit your full strength.

Seed: Consolidation is the market's resting time. You too should rest and prepare for the next move. Piling up forced trades during a consolidation earns no profit while fees mount. Waiting quietly is essential.

Teaching 31: Pyramiding Buys to Turn a Win into a Big Win

第三十一章　可買入合段勝大勝の事

This is the method of combining entry levels (合段 (*gōdan*)) to turn a win into a big win. Buy a little at the bottom; when prices rise, buy a little more. This is called pyramiding (合段, *gōdan*). By adding to a winning position, profits grow greatly.

(1) However, one must confirm that the overall trend is upward before adding. To add when the trend is uncertain is dangerous.

Seed: The pyramiding method should be used only after confirming the bottom. Use this method only when the bottom is firm. To pyramid in the middle of a falling market only magnifies losses.

Teaching 32: The Three-Month Influence and Pullback Outcomes

第三十二章　三ヶ月影響と引上首尾の事

The "three-month influence" means that the market's movement three months ago affects today's market. A market that bottomed three months ago is likely to rise now. A market that topped three months ago is likely to fall now. Knowing this three-month cycle is a matter of great importance in the way of the market.

(1) "Pullback outcomes" refers to the results of a market that has pulled upward over three months. A market that has risen greatly over three months will experience a correction afterward.

Teaching 33: Resting for Forty-Seven Days After a Stalled Position

第三十三章　仕掛離れ四十七日休の事

When a position one has entered fails to move as expected, set a limit of forty-seven days and rest. If there is no profit within forty-seven days, exit the position and rest.

(1) Resting is also important in the market. Those who trade constantly grow weary in body and mind, and often misjudge. Take a forty-seven-day rest, refresh your mind, and only then enter a new position.

Teaching 34: Regional Procurement with Consideration for Costs and Connections

第三十四章　國仕相買入判分料縁心國の事

In regional procurement, one should separate the assessment, examine the cost amounts, and apply one's judgment. When buying rice from distant provinces, calculate the transport costs and investigate the harvest quality of that province, and only then buy.

(1) Procurement from distant provinces requires many days, and one must be prepared for market changes during that time. Rice from nearby provinces requires fewer days and is easier to profit from.

Teaching 35: Following the Predecessors Even When the World Declines

第三十五章　天下沈むとて先達の事

Even when the world declines, one should follow the teachings of the predecessors (先達 (*sendatsu*)). The way of the market does not change across the ages. Even amid upheaval in the world, the principles of the market remain the same. He who follows the predecessors' teachings and acts in accordance with reason can preserve himself in any circumstances.

(1) In times of turmoil, everyone is frightened and sells. He who at such times acts without fear, following reason, will earn great profit. The predecessors teach: "He who walks the road that others do not walk is the one who profits." Follow this teaching.

Furthermore, read the writings of the predecessors and learn what they did. Old Man Honma Sōkyū is the great predecessor of this way, and his teachings are worth a thousand pieces of gold.

Seed: The predecessors' teachings do not grow old even as times change. Reason (道理 (*dōri*)) is eternal and unchanging. To understand this reason and apply it to one's own trading—this is essential.

He who profits in times of turmoil is he who follows the predecessors' teachings and acts in accordance with reason—and no other. He who is confused by the uproar of the world and lets his heart grow disordered will certainly incur losses.

Chapter 9

Reading the Market

Teaching 36: Dips Within a Rising Market

第三十六章　上の内下相場の事

Even within a rising market, there are temporary declines. These are called "dips within the rise" (*ue no uchi no sage*). A dip within the rise is merely a temporary correction within an upward trend—one must not sell on such a dip. Rather, a dip is precisely the time to buy.

To distinguish between a dip within the rise and a genuine decline is essential to the way of the market. A dip within the rise is small in magnitude and short in duration. A genuine decline is large in magnitude and long in duration.

(2) Furthermore, when everyone is frightened and sells during a dip within the rise, the overall trend remains upward, so prices will immediately rise again. He who buys at such a time will earn profit. He who fears a dip within the rise loses sight of the overall trend.

(3) Dips within the rise normally occur up to three times. The first is shallow, the second is deep, and the third is shallow again. After the third dip, there is often a major advance.

Teaching 37: The Right Mental Posture During Unfavorable Periods

第三十七章　不利節の勢心勢方の事

How to hold one's mind during unfavorable periods is a matter of great importance in the way of the market. In unfavorable times, first calm your mind and do not become frantic. He who frantically tries to recoup will invite still deeper losses.

(1) In unfavorable times, reassess the overall trend and reflect on the errors in your own judgment. Correct the posture of your mind, and only then enter anew. To enter a position with a disordered mind will invite further losses.

Seed: In unfavorable times, rest awhile and restore your composure. Resting is also part of the way of the market. During a losing streak, you must rest at least once and refresh your mind.

Teaching 38: The Right Mental Posture for Each Season

第三十八章　時道の勢心勢方の事

The "way of the seasons" (*toki no michi*) refers to the market's movements in accordance with the time of year. Spring is the time for rising; summer is the time for falling; autumn is the time for bottoms; winter is the time for ceilings. Know this seasonal way and align your mental posture accordingly.

Seed: He who follows the way of the seasons gains profit; he who goes against the way of the seasons incurs losses. Buy in spring, sell in summer, rest in autumn, prepare in winter. This is the way of the four seasons. He who follows this way will not commit a great error in the market.

However, in some years this rule does not hold. Observe the overall trend and adapt flexibly.

Teaching 39: Studying Writings on the Economy

第三十九章　經濟書かむら事

To learn the way of the market, one should read books on the economy (經濟 (*keizai*)). Since the price of rice moves according to the economy of the realm, one must understand the principles of the economy.

(1) Learn the harvest conditions in the provinces, the state of the economy, the circulation of gold and silver—and use this knowledge to judge the overall trend of the market. To trade relying only on the prices before one's eyes is like a blind man walking a road in the dark of night.

Seed: Read the writings of the predecessors, learn what they did, and apply it to your own trading—this is essential.

Teaching 40: Broken Bottoms and Broken Ceilings

第四十章　底ぬけ乃天井ぬけのの事

A"broken bottom" (*sokonuke*) means that prices break below what was thought to be the bottom and fall further still. A "broken ceiling" (*tenjōnuke*) means that prices break above what was thought to be the ceiling and rise further still. A broken bottom or ceiling marks the beginning of a major market upheaval.

When a bottom breaks, everyone is frightened and sells. Yet after a broken bottom, the *major bottom* (大底 (*ōzoko*)) may be reached. When a ceiling breaks, everyone rejoices and buys. Yet after a broken ceiling, the *major ceiling* may be reached.

Seed: When bottoms or ceilings break, do not let your heart be moved—observe the overall trend calmly. The major bottom after a broken bottom is an excellent opportunity for buying. The major ceiling after a broken ceiling is an excellent opportunity for selling.

Furthermore, broken bottoms and ceilings occur during major upheavals that come once every three to five years. He who does not let these upheavals escape and takes his profit will obtain great wealth.

The signs of a broken bottom are as follows:

1. Prices break below the previous bottom and continue to fall.
2. Everyone is frightened and rushes to sell.
3. Trading volume (出來高 (*dekidaka*)) increases greatly.

When all three of these conditions are present, it is a broken bottom. However, after a broken bottom, prices may hit a major bottom and reverse. That reversal is an excellent opportunity for buying.

The signs of a broken ceiling are as follows:

1. Prices break above the previous ceiling and continue to rise.
2. Everyone rejoices and rushes to buy.
3. Trading volume increases greatly.

When all three conditions are present, it is a broken ceiling.

The major upheaval following a broken bottom or ceiling may last several months. During this upheaval, do not close your position after a single trade. Hold as long as the momentum continues.

However, when momentum fades, exit immediately. The fading of momentum is known by the size of price movements becoming smaller. When a market that had been moving greatly begins to move only slightly, it is proof that momentum has faded.

This chapter sets forth the principles for navigating major market upheavals—engrave it well upon your heart.

Teaching 41: Profiting from an Extended Rise

第四十一章　上首尾長値の事

Asuccessful outcome (上首尾 (*jōshubi*)) means having gained profit from buying. *Naganei* (長値 (*naganei*)) means prices continuing to rise over a long period. When one has a successful position in an extended rally, one should not exit easily.

(1) In an extended rally, even if prices fall slightly, they will rise again. Wait for others to sell, then add to your position. The end of an extended rally is known by changes in crowd sentiment (人氣, *ninki*).

Seed: The signs that an extended rally is ending are as follows:

1. The magnitude of each advance grows smaller.
2. The crowd becomes weary of buying.
3. Trading volume declines.

When these three signs are visible, the end of the extended rally is near. That is the time to exit.

Seed: If one fails to notice the end of an extended rally and continues holding, profits will vanish in an instant and turn to losses. Identify the signs that the rally is ending, and do not miss the time to exit.

Teaching 42: It Takes Eighteen Years to Become a Full-Fledged Trader

第四十二章　相場是年十八が一人前の事

To master the way of the market requires years and months. Only after eighteen years of training does one become a full-fledged (一人前 (*ichinin-mae*)) market trader. In the first three years, one incurs losses and learns how fearsome the market is. In the next five years, one earns small profits and learns the methods. In the following ten years, one cultivates the eye for seeing the overall trend.

(2) The way of the market is deep and far-reaching. It cannot be mastered overnight. He who impatiently seeks great profit will certainly fail. Cultivate it over years and months, study day and night, and only then will you attain its subtlety.

He who has not undergone these eighteen years of training should not enter the way of the market. Begin from youth and accumulate training over the years. The market is a lifelong path. Do not be dazzled by momentary profits; take the long view.

Seed: The way of the market resembles the way of the martial arts (武藝 (*bugei*)). In the martial arts too, one receives certification (免許 (*menkyo*)) only after years of training. The market is the same. Consider eighteen years of training as your certification.

Chapter 10

Practical Methods

Teaching 43: The Right Month to Buy, Price Entry, and Mental Posture

第四十三章　買月値段入心勢方の事

The "buying month" (*kaigetsu*) refers to the month when one should buy. Know the proper way to enter at a given price and the proper mental posture (心勢 (*shinsei*)), and only then buy. The months for buying are September and October, when prices are at the bottom. At this time, steady your mind and enter at a low price.

"Mental posture" (心勢, *shinsei*) refers to how one holds one's mind when approaching the market. Be calm and unhurried, acting in accordance with reason. When your mind is disordered, do not trade.

Seed: Know the buying month, identify the right price entry, and align your mental posture—only when all three are in place should you buy. If any of the three is missing, do not buy.

Teaching 44: The Mental Error of Buying in a Rising Market

第四十四章　上相場にて可買心違方の事

When one tries to buy in a rising market, there is a tendency toward mental error (心違 (*kokoroechigai*)). To see a market that has already risen and think it will rise further, and buy on that basis—that is a mental error.

A market that has already risen has, because it has already risen, little room to rise further. To buy at such a time is the same as buying the ceiling (天井).

Seed: The right time to buy in a rising market is during a dip within the rise (*ue no uchi no sage*). Buying when prices have temporarily dipped is an easy way to profit. Buying when prices have risen is both unprofitable and dangerous. Do not forget this principle.

Teaching 45: The Misjudged Outcome and Wrong Momentum in a Falling Market

第四十五章　下相場にて已首達違勢方の事

In a falling market, to see that prices have already fallen and think the bottom has been reached and buy—this is sometimes premature. The momentum of a falling market can break below what one thought was the bottom and fall further still.

It is essential to distinguish between where an outcome reaches its conclusion and where the momentum is heading. Before concluding that a bottom has been reached, test it three times and only then make your determination.

Seed: In a falling market, do not rush to buy at the bottom. Confirm that the bottom is firm, and only then buy. This, as stated in earlier chapters, is a matter of great importance in the way of the market.

Teaching 46: Comparing Methods and Their Effectiveness

第四十六章　藥は達方比可りの事

In the way of the market, "medicine" (*kusuri*) refers to the methods for gaining profit. "Reach" (*tachigata*) refers to where those methods arrive. Compare them and choose the one that yields the greater profit.

Seed: There are various methods for taking profit. Compare the strengths and weaknesses of each method, and use the one that suits you. Do not rely on a single method alone; change your method to suit the time and circumstances.

The way of the market is not one single thing. Know various methods and use them as the occasion demands. To be rigid about a single method is not the way of the market. Be like water, changing form to suit the vessel. This is the subtlety of the market.

Seed: Just as medicine becomes poison when taken in excess, a method for taking profit becomes a source of loss when overused. To know the right measure is essential.

Teaching 47: Big Money Entering the Contest Between Sellers and Buyers

第四十七章　賣方買引大金値

When big money enters the contest between sellers and buyers, the market moves greatly. The market moves in the direction where big money enters. When there is heavy big-money selling, prices fall; when there is heavy big-money buying, prices rise.

(1) To detect the movement of big money is a matter of great importance in the way of the market. To chase after big money that has already entered is sometimes too late. Detect the signs that big money is about to enter, and move ahead of it.

Seed: The movement of big money is known by the increase or decrease in trading volume (出來高, *dekidaka*). When volume increases greatly, it is proof that big money has entered.

Teaching 48: Waiting Years Beyond the Three Markets

第四十八章　三田の外の數年守の事

"Waiting years beyond the three markets" means waiting for several years outside the three trading seasons. The great opportunities of the market come only once in several years. Wait for such an opportunity, and then move decisively.

The first principle is waiting. The market is a path where the patient win. He who moves without waiting gains small profits but forfeits great ones.

Within the span of several years, there are great upheavals in harvest quality. In famine years, rice prices rise greatly; in abundant years, they fall greatly. These great upheavals are the prime opportunity to take great profit.

Once every three to five years there is a great opportunity. In preparation for that opportunity, spend your ordinary time practicing with small trades, accumulating capital, and building your strength.

When the great opportunity comes, move with all your strength. But "all your strength" must not exceed the range of your own capital.

Seed: Like a field—one plows for several years and then reaps the harvest. The market is the same. After years of training and patience, one reaps great profits.

Seed: Furthermore, the market is not an amusement (道樂 (*dōraku*)). It is a livelihood (生業 (*seigyō*)). He who trades as a livelihood should always keep his heart right and act in accordance with reason. He who trades as an amusement will certainly destroy himself.

The market is a public thing under heaven. Do not covet profit for yourself alone. He who acts in accordance with the natural order will profit for a long time. He who goes against the natural order may gain momentary profit, but will ultimately incur losses.

The way of the market is: cultivate the mind, make the body upright, investigate principle, and only then gain profit. If the heart is not right, one cannot gain profit. If the body is not upright, one cannot investigate the way.

This chapter sets forth the foundation of the way of the market—engrave it well upon your heart.

Teaching 49: The Unsettled Momentum of the Summer Market

第四十九章　夏中の諸時は違ぬらぬ勢

Summer is a time when the market's momentum is unsettled. Summer is the time of waiting for new-crop rice, and the market tends to move erratically in either direction. At such times, do not enter large positions.

In the summer market, amid the unsettled momentum, there are small waves. Ride these small waves and take small profits. To enter large positions seeking large profits in the summer market is dangerous.

Seed: Summer is the market's resting time. Rest as well, and prepare for the great upheaval of autumn.

Teaching 50: The Mental Error of Entering Positions After a Win

第五十章　勝方仕掛心違の事

After a win, one is prone to mental error when entering the next position. To enter aggressively on the heels of a victory is the foundation of defeat. It is precisely after a win that one should exercise restraint and hold back.

Seed: After a win, the heart grows inflated and one is likely to misjudge. It is precisely after a win that one should tighten the reins of the heart and act with caution. After a winning streak, rest once and refresh your mind.

He who is arrogant in victory will certainly lose. He who is humble will win for a long time. He who knows this principle may be said to have grasped the way of the market.

Teaching 51: Buying at Seventy-Three Monme

第五十一章　七十三匁買の事

Seventy-three *monme* (匁) refers to a rice price of seventy-three monme per *koku* (石). This price is a benchmark for cheap prices—when prices reach this level, it is a good opportunity to buy.

Since seventy-three monme is a benchmark for bottom prices, when prices approach this level, one should prepare to buy. However, in years of severe famine, prices may break below seventy-three monme and fall further still. At such times, confirm that the bottom is firm before buying.

Furthermore, seventy-three monme is a price that comes only once every three to five years. If one buys at this cheap price, one may earn great profits. Wait for this cheap price over the course of several years, and buy when it arrives. This is the method of "waiting years beyond the three markets" described in the previous chapter.

Seed: The seventy-three monme benchmark applies to the Sakata rice market; in other locations the benchmark will differ. However, the importance of establishing a price benchmark and waiting patiently for it is the same everywhere.

He who would master the way of the market must first understand the principle of why rice prices rise and fall. Seventy-three monme is a benchmark for the bottom, yet prices can fall further still to thirty or fifty monme. One hundred monme is a benchmark for the ceiling, yet prices can rise further still to one hundred twenty or one hundred fifty monme.

Thus, while benchmarks exist, one must not trade solely on benchmarks. Observe the overall trend, know the season, read the crowd's sentiment, and only then trade.

Furthermore, if one buys at the seventy-three monme benchmark yet prices fall to fifty monme, one should acknowledge the error in one's forecast and exit quickly. Do not cling to a benchmark and let losses grow.

The market moves according to the time of heaven and the hearts of men; it is difficult to measure by a fixed benchmark alone. Use benchmarks as reference, but judge by the overall trend.

Rice prices rise and fall according to various circumstances, and cannot be fixed in advance. Yet having a benchmark is important—to trade with no benchmark at all is like a blind man walking a road.

Chapter 11

Advanced Principles

Teaching 52: The Winter-to-Spring Market

第五十二章　冬より春を通じ相場米相の事

From winter through spring, rice prices generally rise. Winter demand is high and inventories low—hence prices rise. They continue rising through spring as long as demand persists. The normal course is to buy from winter through spring and sell at the May–June ceiling. However, in some years the ceiling comes in winter and prices fall in spring. Know these exceptions; they depend on harvest quality.

Seed: The winter-spring market depends greatly on the harvest. In abundant years, the rise is small. In famine years, the rise is great. Assess the year's harvest before committing.

Teaching 53: Unwinding in Three Parts After a Market Top

第五十三章　天井投落直相三つ解きの事

When the market has topped and begins to fall, one should unwind (解く, *toku*) one's position in three parts. Sell one-third when you believe the ceiling has been reached. Sell another third when prices begin to fall. Sell the final third when prices have fallen further. By dividing the exit into three parts, even if you misjudge the ceiling, you avoid catastrophic loss.

Seed: This three-part method applies to buying as well. Buy one-third at the presumed bottom, another third as prices begin to rise, and the remainder as the rise confirms.

Teaching 54: Evaluating the High Price at a Ceiling

第五十四章　天井の高値上評の事

To evaluate a ceiling's high price, compare it to the previous ceiling. If higher than the previous ceiling, momentum is strong. If lower, momentum has weakened. The ceiling's height depends on the year's harvest quality and the strength of crowd sentiment.

Furthermore, a ceiling reached after a long steady rise tends to be high. A ceiling reached after a sharp short rise, though high, tends to fall back quickly.

Teaching 55: Carrying Positions Past the June Settlement

第五十五章　六月越し達の事

Carrying positions past June (*rokugatsu goshi*) means holding rice through the June settlement month. June is a settlement month with heavy selling, so holding through requires ample capital. After June, prices may continue falling in July and August. Without the strength to endure this decline, one should not attempt the June carry-over. Use this method only in years when the overall trend is upward.

Teaching 56: Large and Small Rises Within Rising Markets

第五十六章　上は相場とても相場とて大小の事

Within rising markets there are both large and small rises. A large rise is driven by the overall trend and can last months or more than a year. A small rise is driven by temporary sentiment and lasts only days or weeks. For large rises, commit boldly. For small rises, take modest profits and exit. To treat both the same is a fundamental error. The same principle applies to falling markets—there are large and small declines. Distinguishing between them is essential.

Teaching 57: Misjudging the Relationship Between Money and Rice

第五十七章　錢米判相心違の事

Misjudging the relationship between money (錢, *zeni*) and rice is common in trading. One judges the money market by the rice market and vice versa. Understanding the relationship between these two markets is essential. They do not always move in concert—sometimes they move in opposite directions. Know this discrepancy and correct your judgment accordingly.

Teaching 58: Buying at the Water's Low Point

第五十八章　買の水下可買

The "water's low point" for buying means the low price at which one should buy. As water flows to the lowest point, so should one buy at the lowest prices. To buy at high prices is to go against the natural order, like water flowing uphill.

Teaching 59: There Being Two Types of Extremes

第五十九章　極相に二つある事

There are two types of price extremes (極相 (*gokusō*)). One is the ceiling extreme, where upward momentum exhausts itself and decline begins. The other is the bottom extreme, where downward momentum exhausts itself and advance begins. Identifying these two extremes is the ultimate secret of the way of the market.

Teaching 60: Paying Attention to Each Day's Extremes

第六十章　毎日の極は氣を付け事

Pay attention to each day's extremes. Watch each day's high and low and record them. When daily highs gradually climb higher, it is proof of a rising market. When daily lows gradually sink lower, it is proof of a falling market.

Seed: Watching each day's extremes is the foundation of the way of the market. The overall trend is known through the accumulation of each day's small movements. Apply your mind to each day's movement, and thereby judge the overall trend.

Keep a trading record (帳面 (*chōmen*)) and note each day's highs and lows. If you look at the record, the overall trend becomes clear. To trade without a record is like walking a road blindfolded.

Teaching 61: Three Consecutive Wins with Big Money

第六十一章　大入金三つ勝勢の事

When one commits large capital and wins three times, the overall trend is strong in one's favor. If you commit large capital three times and profit all three times, the trend is on your side. In such a case, continue holding.

However, after three wins, hold back a little. To bet heavily in the flush of victory is the foundation of defeat. After three wins, rest once and refresh your mind.

Seed: Three consecutive wins are not coincidence. It is because the overall trend is in your favor. Yet the overall trend always changes, so after three wins one must not let down one's guard.

Teaching 62: Holding from the Bottom Through the Ceiling

第六十二章　底より天井迄持ちの事

This teaching concerns the outcome of buying at the bottom, holding through to the ceiling, and selling before the decline begins. This is the great way of the market.

This method requires two things: patience and decisiveness. Patience is the power to hold. Decisiveness is the power to sell.

Teaching 63: A Falling Market as the Starting Point of the Next Rise

第六十三章　下相場は次の上げの始の事

A falling market connects greatly with the next rising market. That is, the bottom of a falling market is the starting point of the next rising market. The end of a falling market is the beginning of a rising market.

He who knows this principle does not fear a falling market. If one buys at the bottom of a decline, one reaps the great profits of the coming rise.

Teaching 64: Rice Prices Following Natural Principles

第六十四章　米値は天道の理に従ふの事

The price of rice is determined by heaven's fire—that is, the weather—and by natural principle. It cannot be moved by human power. Through changes in weather and differences in harvest quality, the price of rice is naturally determined.

Know this natural principle and follow it without resistance. He who goes against nature will certainly incur loss.

Seed: Rice is a product of heaven and earth. Its price too follows the principles of heaven and earth. Human speculation may move prices for a time, but in the end they return to natural principle.

Teaching 65: Abandoning a Position When Rice Reaches Its Extreme Price

第六十五章　米極値にて持を捨つの事

The extreme price of rice means the point where prices have reached their limit. When the extreme price is reached, one should abandon the position—that is, close it and withdraw. If one continues to hold past the extreme, profits will diminish and turn to loss.

To identify the extreme, as described in the preceding chapter, observe daily highs and lows and perceive changes in crowd sentiment.

Seed: One should observe the market with greed removed. Where there is greed, one will misjudge the extreme. With a calm heart, judge in accordance with reason.

Teaching 66: Deciding the Selling Price at the Time of Purchase

第六十六章　買ひの時に賣値を極むの事

Bought rice must eventually be sold. At the time of buying, one must always think about the time of selling. Before buying, determine at what price you will buy and at what price you will sell.

The "apportioning of price" (分價) means how to divide the profit. Take one-third as your profit and yield the remaining two-thirds to others—this should be your guiding principle.

Seed: He who has already determined the selling price at the time of buying will not waver in his heart. He who buys without determining when to sell will, even if he gains profit, miss the time to exit. Determine the exit before the entry. This is the iron rule of the market.

Teaching 67: Reading the Balance of Buying and Selling Power

第六十七章　一市中の賣買の勢ひ讀みの事

To read the momentum of buying and selling within a single session means to compare the strength of buyers and sellers in one market. When the power of buying is strong, prices rise; when the power of selling is strong, prices fall. To discern the relative strength of these forces is essential.

Teaching 68: Not Buying a Market That Fails to Recover

第六十八章　戻らぬ下げにて買ふべからずの事

When a market fails to recover and keeps falling through entirely, the overall trend is downward. Do not buy on a small bounce. When prices have fallen through completely, wait for the major bottom.

To buy when there is no sign of recovery is like catching a falling blade with your bare hand. Identify the major bottom, and only then buy.

Teaching 69: The Three Pivotal Months and Turning Points for Upward Moves

第六十九章　三位の月上り轉換の事

When the three pivotal months reach their extreme and the market begins to rise, this is what is meant by "reaching upward at the extreme of the three positions." The three positions are January, May, and September. When the market reaches its extreme in one of these three months and begins to rise, one should buy boldly.

The extreme of the three pivotal months is a major turning point of the market. He who identifies this turning point and acts upon it will gain great profit. This principle is also discussed in Chapter 12.

Teaching 70: Not Buying Large Quantities at High Prices in a Single Region

第七十章　一國の高値に大量買ふべからずの事

Rice bought at prices that have moved against you—that is, rice bought at high prices—requires great caution. To buy a large quantity of one region's rice is something one must be very careful about. If one buys in large quantity at high prices, even a small decline will produce a large loss.

Seed: "Buying one region" means buying up all the rice of a single province. This requires enormous capital. Moreover, if one corners a region's rice, one invites the resentment of the people. It goes against the natural order, and in the end one will incur loss.

One must not buy beyond one's strength. To know one's limits is essential.

Rice bought at high prices turns to loss immediately upon a decline. But rice bought at low prices still shows profit even after a small decline. Therefore the price at which one buys is of the greatest importance—buy at low prices.

Furthermore, when buying in large quantity, do not buy all at once. Buy in parts, lowering the average. This method is as described in the preceding chapters.

The purpose of this chapter is to warn against buying large quantities at high prices. Engrave it well upon your heart.

Teaching 71: Monthly Settlement Cycles and Buying Opportunities

第七十一章　月々の節と大買の機の事

The "monthly settlement pull" means pulling out at the settlement points that occur every few months. "Large buying in the off-month" means buying heavily in a month different from the settlement month. "Breaking away" means the market breaking out of a range.

Know the settlements that occur every few months, and trade at those junctures. Exercise caution with large buying in off-months. When the market breaks away, act boldly.

Teaching 72: Year-Long Trading Requires Physical and Mental Health

第七十二章　通年の相場は心身の健の事

Seed: "Year-long trading" means trading throughout the entire year. "Body and mind" means keeping both body and mind in order. To trade year-round, both body and mind must be sound.

When the body weakens, judgment weakens, and the heart weakens too. Keep the body healthy, keep the heart right, and only then approach the market.

(1) Year-long trading is a contest lasting more than a year, so soundness of body and mind is of great importance. When fatigued, rest. When the heart is disordered, be still.

Teaching 73: Observing Three Days Before Committing Large Capital

第七十三章　大金を入るには三日を見ての事

When committing large capital, observe three days of price action before moving. See the first day's price, see the second day's price, see the third day's price, and determine the direction from the three days' movement.

If prices rise for three days, buy. If prices fall for three days, sell. The three-day movement reveals the short-term trend.

Committing large capital is a matter of great importance in the market. Do not act in haste. See the three days' prices, and only after the direction is established should you act. Moreover, even after committing large capital, pay attention to each day's prices, and when the momentum changes, close your position immediately.

Thus the way of the market depends upon patience and decisiveness, the cultivation of the heart, and the investigation of principle. Savor the teachings of this book well, and thereby master the way of the market.

Seed: The market is the way of man. He who knows the way of man knows the way of the market.

> *Editor's note:* With this chapter, the upper volume concludes. The way of the market rests upon patience and decisiveness, the cultivation of the mind, and the investigation of principle. Study the teachings of this book thoroughly, accumulate practice, and only then approach the market. This is both the beginning and the end of the way of the market.

Part II

Lower Volume （下巻）

Editor's note: Both the upper volume (Teachings 1–73) and the lower volume (Teachings 1–66) that follow have been translated from the character-level transcription. The lower volume's chapters are generally shorter than the upper volume's. Many characters in the transcription carry significant uncertainty, marked with (?). We translate the most likely reading in each case. Sections marked （一） introduce the main teaching; sections marked （種） ("Seed") provide supplementary elaboration.

Chapter 1

Timing and Calendar

Teaching 1: The Timing of Declines

下巻第一章　落節の事

Declines have their own rhythm and timing (節, *setsu*). Within each month there are one or two regular points of decline. Know these timing points and use them to determine when to buy and sell. The 15th and month-end are common inflection points.

Teaching 2: A Three-Month Consolidation and Rotating Capital

下巻第二章　相場三ヶ月持合金繰り回の事

If the market does not move for three months, exit and rotate your capital elsewhere. Idle capital earns nothing. During consolidation, deploy funds to other opportunities. When the market begins to move again, re-enter.

Teaching 3: Trading by Principle, Not by Gambling

下巻第三章

Trade by reason (道理 (*dōri*)), not by luck. Trading without reason is mere gambling. He who trades by reason profits long-term; he who trades without reason profits only temporarily and ultimately loses.

Teaching 4: Entering Positions at Low Prices

下巻第四章　當買を低下に仕掛の事

The entry price matters most. Buy at low prices—even a small rise yields profit. Buy at high prices and only a large rise yields anything. Use previous bottom prices as reference points for low-price entries.

Teaching 5: The Three-Year Harvest Cycle

下巻第五章　三年結構の方へ國を米達の事

Three consecutive years of good harvests lead to an oversupply of rice and falling prices. Three years of poor harvests lead to scarcity and rising prices. Know this three-year cycle to read the overall trend. After abundance comes scarcity; after scarcity comes abundance—a perpetual cycle.

Teaching 6: The Great Rising Day

下巻第六章　天一大上日の事

Certain days mark great turning points in the market. These are known through the calendar (暦 (*koyomi*)). When the market moves on such a day, pay close attention. These major-move days come only a few times per year—wait for them and act decisively.

Teaching 7: Not Trading Without Adequate Capital

下巻第七章　金に際なくして思ふ時合ぶない事

Do not trade when your capital is insufficient. To borrow money to trade or to trade under financial stress impairs judgment. Trade only with surplus capital. Trading without capital is like going to battle on an empty stomach—you will have no strength and will lose.

Teaching 8: The Cyclical Nature of Market Rises and Falls

下巻第八章　上下の波の如き事

"Rises and falls recurring" means that a market which has risen will fall again, and a market which has fallen will rise again. The market perpetually repeats its rises and falls.

"Reaching one's aim" means that a position one has initiated reaches its objective. Within the repeated rises and falls, it is essential to reach the objective of one's trade.

Seed: The recurring rises and falls are like waves. Know the movement of the waves and ride them to take profit. He who opposes the waves will suffer losses.

Teaching 9: The Laws Governing Major Market Moves

下巻第九章　大相場の法の事

A "major market move" refers to a market of great fluctuation. The movement of major markets has its own laws of momentum. A market that has risen greatly will fall greatly. A market that has fallen greatly will rise greatly. Knowing this law is essential.

Seed: The momentum of a major market can extend over several months. Determine the direction of the overall trend and ride its momentum. He who opposes the overall trend will inevitably suffer losses.

Teaching 10: Not Judging the Trend from a Single Day

下巻第十章　一日の動きにて大勢判ずべからずの事

A single day's price represents one day's market value. One must not judge the overall trend from a single day's movement. A single day's movement is but a small wave and does not indicate the overall trend.

Do not let your heart be swayed by a single day's price movement. Observe the movement over several days and several months, and determine the overall trend from that. Rejoicing and despairing over each day's rise and fall is not the way of the market.

Seed: To trade based on a single day's movement is no different from gambling. Judge the overall trend by reason, and only then act.

Teaching 11: Trading Twenty-Six Bales and Proper Position Sizing

下巻第十一章　二十六俵相場張の事

Seed: Twenty-six bales (俵) refers to a quantity of rice, denoting a trade of twenty-six bales. This chapter describes the principles one should know when trading in such quantities.

The principles of trading differ according to whether the quantity is large or small. For large-quantity trades, one should act with a broad mind. For small-quantity trades, one should act with caution.

Teaching 12: Smaller Quantities and Careful Management

下巻第十二章　十七俵少量の事

Seventeen bales is a small-lot trade. Even in small-lot trades, the principles are the same as for large lots. Determine the overall trend and trade in accordance with reason.

Do not be careless simply because the quantity is small. Through the accumulation of small lots, large profits are made.

Seed: Whether in large lots or small lots, the way of the market is the same. Act in accordance with reason.

After gaining profit from seventeen-bale trades, gradually increase your quantity. However, do not trade in quantities exceeding your own strength. Determine the quantity according to your means.

Furthermore, even in small-lot trades, keep a ledger. Review the ledger to know the results of your own trading. Compare the times of large profit with the times of large loss, and know your own weaknesses.

Chapter 2

Specific Trading Rules

Teaching 13: Trading with One Kan of Capital

下巻第十三章　一貫金の張方の事

"One *kan* purchase" means buying with one *kan* (貫目) of gold. This chapter describes how one should trade when using one *kan* of capital.

Seed: When trading with one *kan* of capital, first commit one-third of it to initiate the position, and keep the remainder as reserves. Do not invest the full amount at once.

Teaching 14: The Golden Ratio of Effort and Profit

下巻第十四章　八分の力三分の利の事

"Eight parts effort, three parts profit" means using eight-tenths of your strength to buy and taking three-tenths profit as sufficient. One must not use the full ten-tenths of one's strength. Use eight and keep two in reserve.

Be content with three-tenths profit. If you try to take the full ten-tenths, you may instead lose your gains entirely. This is as stated in Teaching 14 of the upper volume.

Seed: Eight-tenths effort for three-tenths profit—this is the golden rule of the market. Keep strength in reserve and restrain your profit-taking. He who observes this principle will sustain himself in the market for a long time.

Teaching 15: Not Buying in Abundant Years

下巻第十五章　豊年に買ふべからずの事

Do not buy in abundant years. In abundant years, the supply of rice is plentiful and prices normally fall. If you accumulate buying positions in an abundant year, it will be difficult to endure the decline in prices.

Therefore, in abundant years, refrain from buying and look for opportunities to sell. Sell at the high prices of an abundant year and wait for lower prices before buying later. This is the way to handle the market in abundant years.

Seed: Even in abundant years, prices may rise temporarily. To ride such a temporary rise and buy is dangerous. Since it is only a temporary rise within an overall decline, prices will soon fall again.

Teaching 16: Not Selling Based Solely on Past Patterns

下巻第十六章　因果のみにて賣るべからずの事

Do not sell by comparing with past results (因果 (*inga*)). "Past results" means judging based on what happened before. To think that because prices fell in the past they must fall again, and to sell on that basis, is not necessarily correct.

The past is past, and the present is the present. Look at today's overall trend and make today's judgment. To be captive to the past and lose sight of the present is an error in the way of the market.

Seed: To trade based on past results is like walking a road while looking behind you. One should look ahead and walk the road. That is to say, look at today's overall trend and trade accordingly.

The key insight regarding past results is that one should look at the overall trend and judge the present from it. Do not be captive to the past; follow today's overall trend. When the overall trend is rising, buy without relying on past results. When the overall trend is falling, sell without relying on past results.

Teaching 17: The Halfway Point After a Sharp Decline

下巻第十七章　天井より急落半値の事

A market that falls sharply from the ceiling will decline rapidly to the halfway point (半値 (*hanne*)). From the ceiling price to the bottom price, the midpoint—that is, the half-value—is where momentum is strong and the decline is swift.

Seed: During a sharp decline, do not buy until the halfway point is reached. After reaching the halfway point, observe whether the bottom is firm, and only then buy. To buy in the middle of a sharp decline is like catching a falling blade with your bare hand.

Teaching 18: Ceilings and Bottoms in Abundant and Famine Years

下巻第十八章　豊年凶年の天井底の事

The way of making the market and the momentum of the trend in abundant years differs from that in famine years. In abundant years, the supply of rice is plentiful and prices naturally fall. At such times, one should take the path of selling.

In abundant years, the ceiling is low and the bottom deep. In famine years, the ceiling is high and the bottom shallow. Know this difference and determine your method of trading accordingly.

Seed: In abundant years, do not try to profit greatly. It is best to take small gains steadily. Famine years are the opportunity to take large profits.

Teaching 19: Do Not Chase Profits That Have Fled

下巻第十九章　逃げ足を追ふべからずの事

Do not chase profits that flee like running feet. Profits depart swiftly, like feet. In chasing profits, you may instead invite losses. Take profits when they come. Do not pursue them after they have gone.

Teaching 20: Not Following the Crowd

下巻第二十章　人に附かぬの事

Seed: It happens that one follows what others do and does the same. When others buy, you buy too; when others sell, you sell too. This is moving in the wake of others.

However, he who follows others is always late. If you move after others, your profits will be small. Move ahead of others by your own judgment.

Teaching 21: Not Wagering Your Entire Fortune

下巻第廿一章　有金殘らず張るべからずの事

Do not stake everything—that is, do not commit your entire resources to trading. He who commits all his resources to the market will be ruined by a single failure. Always keep reserves on hand.

Teaching 22: Three Tests and Seven Days of Confirmation

下巻第廿二章　三度の試しと七日の勢ひの事

Ceilings and bottoms are settled after being tested three times. Do not determine a ceiling or bottom from a single test. Test three times and then judge.

When buying, observe the movement over seven days before acting. If prices rise for seven days, the momentum is strong. If prices fall for seven days, the momentum is weak. Use the count of seven days to judge the overall trend.

Teaching 23: The Three Tiers of the Market

下巻第廿三章　上中下三段の事

The "three-tier market" means viewing the market in three stages. The upper stage is near the ceiling, the middle stage is at the half-value, and the lower stage is near the bottom.

Buy at the lower stage and sell at the upper stage. This is the great road of the market. At the middle stage, since prices may move in either direction, one should refrain from acting.

Teaching 24: July as a Turning-Point Month

下巻第廿四章　七月轉換の事

July is a month when the market turns. The summer decline may find its bottom in July, and prices may begin rising toward autumn.

The bottom is reached in July because the outlook for the new rice crop becomes clear. In years of abundant harvest, prices may fall still further from the July bottom. In years of poor harvest, prices may rise greatly from the July bottom.

The movement in July determines the overall trend for the second half of the year. Pay attention to the July market and set your strategy for autumn and beyond accordingly.

Furthermore, July follows the sixth-month settlement period, and the consolidation that lasted through June may break. Observe the direction of this breakout and trade accordingly.

Teaching 25: Monitoring the Osaka Market

下巻第廿五章　上方の相場を見るの事

The "upper market" (上方 (*kamigata*)) refers to the Ōsaka market. Know where the Ōsaka market's movement reaches, and use it to judge the Sakata market. The Ōsaka market may move first, and the Sakata market may follow afterward.

Seed: It is essential to know the price difference between the Ōsaka and Sakata markets. When the difference is large, it is an easy time to take profits.

Teaching 26: Month-End Settlement Days

下巻第廿六章　月末の節日の事

The "month-end settlement market" refers to a market that is settled at the end of the month. The month-end settlement market tends to move as the end of the month approaches.

Seed: Pay attention to settlement days. From three days before month-end, settlement trading increases and prices may move.

Teaching 27: Comparing October and August Prices

下巻第廿七章　十月と八月の値比べの事

It is essential to compare the markets in October and August and know the state of markets in all regions. October is the month after the autumn harvest, when the supply of rice is settled. August is before the harvest, when the outlook is still uncertain.

Compare the prices of these two months and judge the year's harvest quality accordingly.

Chapter 3

The Trader's Calendar

Teaching 28: Unfavorable Calendar Days for Trading

下巻第廿八章　甲乙の不利日の事

Days of the *kō-otsu* (甲乙) cycle are days when the market does not move. On *kō-otsu* days, do not initiate large positions. If you initiate trades on days when the market does not move, commissions pile up with no profit.

The market has days that move and days that do not move. Choose the days that move and initiate trades on those days.

Teaching 29: Significant Dates for Rice Delivery

下巻第廿九章　三月六月の節日の事

The sixth and third months have many significant days for rice deliveries. "Delivery days" are the days when rice shipments arrive.

Teaching 30: The Fifth and Seventh Day as Inflection Points

下巻第三十章　五日目七日目の節の事

The "gates of five and seven" mean that inflection points occur at the fifth and seventh day of a market move. If prices rise for five days, they will pull back once; if they rise for seven days, they will pull back again. Knowing these gates of five and seven is essential.

Teaching 31: Autumn Is the Time to Buy

下巻第三十一章　秋は買ひの時の事

Autumn is the season of the rice harvest, and prices are normally low. Accumulate buying positions at this cheap time. Buy at autumn's low prices and sell at winter's high prices. This is the standard way of the market.

Teaching 32: Tracking Daily Momentum

下巻第三十二章　日勢の事

Daily momentum (日勢 (*nissei*)) means the market's momentum each day. Observe the daily momentum and use it to judge the overall trend. Just as weapons and tools are useful only when polished every day, so too with the market. Knowing daily momentum is the foundation of trading.

Teaching 33: Unlucky Days When the Market Is Prone to Sharp Moves

下巻第三十三章　厄日の事

Unlucky days (厄日 (*yakubi*)) are days when the market is prone to sharp fluctuation. On unlucky days, there can be large moves. Pay attention to these days and act when you see the opportunity. Also, since great losses may occur on unlucky days, exercise caution.

Teaching 34: Quarter-End Settlement Points

下巻第三十四章　四半期の節の事

Seed: The end of March, the end of June, the end of September, and the end of December are critically important seasonal junctures. At these month-ends, settlement trading is heavy and the market may move sharply.

Teaching 35: Buying in Three Installments Around Settlement Days

下巻第三十五章　節日の前中後三度買ひの事

There is a method of buying in three large installments around settlement days. Buy in three parts: before, on, and after the settlement day. The first purchase is before the settlement day, the second on the day itself, and the third after the settlement day. By dividing into three purchases in this manner, one can prepare for the movements around the settlement.

Teaching 36: Identifying the Day the Market's Direction Is Established

下巻第三十六章　立て局の日の事

The "day the direction is established" is the day when the market's overall trend becomes settled. On this day, there can be a large move. Identify the day the direction is established and act without letting the opportunity escape.

Teaching 37: Reading the Tail of a Move

下巻第三十七章　勢ひの尾を讀むの事

The "tail" means the tail-end of the market's momentum. The "two tails" are the tail of the rise and the tail of the decline. The tail of the rise is near the ceiling, where momentum wanes. The tail of the decline is near the bottom, where momentum is exhausted.

Discerning these two tails is a matter of great importance in the way of the market.

Teaching 38: Major Moves Begin After Settlement Days

下巻第三十八章　節後の大動きの事

Seed: That "great moves begin after settlement days" means that after a settlement day, the market may begin to move greatly. Since settlement days are turning points in the market, pay close attention to the movement after settlement days.

Teaching 39: The Five Rules of the Rice Merchant's Mindset

下巻第三十九章　米商の心得五則の事

The rice merchant's mental discipline is the root of the way of the market. The rice merchant should always keep his heart right and act in accordance with reason. He whose heart is right will gain profit; he whose heart is crooked will suffer loss.

Observe the overall trend, know the seasons, perceive market sentiment, and only then trade. When the heart is unsettled, rest. When the heart is composed, act.

Seed: The rice merchant's principles are as follows:

- Act in accordance with reason.
- Abandon greed.
- Observe the overall trend before moving.
- Wait with patience.
- Keep the heart right when engaging the market.

He who observes these five rules will sustain himself as a rice merchant.

Teaching 40: Approaching the Market with a Single Great Resolve

下巻第四十章　一大決心の事

"One great mental resolve" means having a single, large way of holding one's mind. When approaching the market, unify your mind and think broadly. Do not be captive to small matters; see things on a grand scale.

Teaching 41: Buying in the Month That Heaven Has Ordained

下巻第四十一章　天の定めし月に買ふの事

Seed: The month to buy is the month when heaven has set the bottom. Buy at the bottom that heaven has ordained. It is not a bottom determined by human judgment, but a bottom determined by heaven.

The "bottom set by heaven" means a bottom determined by natural principles. Through changes in harvest abundance and famine, and through seasonal movements, a natural bottom is reached. Discern this natural bottom and buy.

Teaching 42: Withdrawing and Saving Market Profits

下巻第四十二章　利を引きて貯むの事

Profits from winning should be withdrawn and set aside—that is, the money gained from the market should be taken out and saved separately. If money gained from profits is reinvested in the market, the profits will quickly vanish and turn to losses.

Seed: When you gain a profit, be sure to save a portion of it separately. Do not reinvest everything in the market. Save profits and hold them as reserves against times of failure. This is the way to continue in the market for a long time.

Chapter 4

Final Teachings

Teaching 43: The Five Forms of Market Movement

下巻第四十三章　五つの相場形の事

Seed: The market should be approached through five forms. The five forms are: rising, falling, consolidation, upward breakout, and downward breakout. Know these five forms and act according to each.

Teaching 44: Reading the Role of Daily Price Movements

下巻第四十四章　日々の値動きの役の事

"Reading the role of daily price movements" means observing the daily price movements and knowing their role, so as to reach the objective of your trade.

Teaching 45: The Ruin of Trading Beyond One's Means

下巻第四十五章　分限を超えて張る滅亡の事

This concerns those who invest large sums beyond their means, devote themselves entirely, and bring misfortune upon their lives. That is, those who invest large sums in the market and lose them, ruining themselves.

Those who lose large sums in the market are those who engage in contests exceeding their own strength. Trade within your means and engage in contests that are not unreasonable.

Teaching 46: Accumulating Capital Gradually

下巻第四十六章　少しづつの積み上げの事

One should use money like piling up a mountain, reaching one's goal only afterward. Accumulate capital little by little and build it into a large sum. Do not spend large sums all at once.

Seed: In using money, one must observe moderation. He who uses money without moderation will ultimately lose it all.

Teaching 47: Not Blindly Following Famous Traders

下巻第四十七章　名人に盲目に附くべからずの事

Learning the momentum of famous buyers but failing to notice when the market peaks and falls—this happens when one follows the buying momentum of well-known traders without one's own judgment.

To watch others buy and then buy, or watch others sell and then sell, is merely following others and is not one's own path. Act on your own judgment.

Seed: Following the movements of a famous market trader may appear safe at first glance, but if you do not know the timing of his exit, you may suffer losses.

Teaching 48: Market Momentum Is Self-Sustaining

下巻第四十八章　勢ひは勢ひを呼ぶの事

The market's momentum simply persists. That is, if there is upward momentum, it continues upward as it is; if there is downward momentum, it continues downward as it is. Do not oppose the momentum.

Seed: Riding the momentum is a matter of great importance in the way of the market. He who opposes the momentum will suffer losses. He who follows the momentum will gain profit.

Teaching 49: Carrying Positions Through Month-End Settlements

下巻第四十九章　月末を越すの事

This is the method of buying and carrying positions over the month-end to reach one's objective. Carrying positions over the month-end requires both surplus capital and patience.

Seed: Carrying positions over the month should be employed only in years when the overall trend is upward. If you carry positions over in a year when the trend is unsettled, you will idle your capital with no profit.

Teaching 50: The Principle of Water

下巻第五十章　水の理の事

The "principle of water" in buying means that, like water seeking a low point, one should buy at low prices. "Reaching one's objective and pulling up" means withdrawing after reaching your target. "The ship's error of judgment" means aspiring to move like a great ship and making an error of the heart.

Just as setting out to sea in a small boat is dangerous, so is entering a major market with small capital. Know the size of your own vessel and act accordingly.

Seed: The principle of water is the foundation of the market. Water flows from high to low and naturally becomes level. The market is the same. When prices are high, they naturally fall; when prices are low, they naturally rise. Follow this natural principle.

Furthermore, the ship's error of judgment arises from the greed of wanting to take large profits. Abandon greed and act in accordance with reason.

Teaching 51: Combining Monthly Positions into a Large Holding

下巻第五十一章　月々の合せ大張りの事

"Combining monthly positions and drawing momentum" means accumulating purchases over several months, combining their terms, and building them into a large force of momentum.

Even if each month's purchase is small, combining the purchases of several months makes it large. This method is a way of gradually increasing one's position and is akin to the method of averaging.

Seed: The method of combining monthly positions and drawing momentum should be employed in years when the overall trend is upward. If this method is used when the trend is unsettled, it will only enlarge one's losses.

Furthermore, when combining monthly positions, one should know the average purchase price for each month. If the market rises above the average price, there is profit; if it falls below, there is loss. It is essential always to know the average price.

The meaning of this chapter is to describe the method of gradually increasing one's purchases to obtain a large profit. It should be employed only after the overall trend has been ascertained.

Teaching 52: Monitoring Both the Osaka and Sakata Markets

下巻第五十二章　上方と酒田の相場見合せの事

Seed: This describes combining the momentum of the Ōsaka market with the reaching momentum of the Sakata market, and planning the deployment of capital accordingly. Observe both the Ōsaka and the Sakata market momentum, and determine how to use your capital.

When the Ōsaka momentum is strong and the Sakata momentum is also strong, buy boldly. When Ōsaka is weak and Sakata is strong, buy with restraint.

Teaching 53: Keeping One's Heart Right and Following Reason

下巻第五十三章　心正しく理に従ふの事

The most important thing in the rice market is to keep one's heart right and follow reason. If the heart is crooked, one will not gain profit. If one acts against reason, one will suffer losses.

The way of the market is the way of humanity. He who observes the way of humanity will observe the way of the market as well. He who departs from the way of humanity will depart from the way of the market as well.

Seed: Rice is the foundation of the realm. He who trades in rice is involved in the great affairs of the realm. One must not forget this awareness.

Teaching 54: Reading the Extreme Low Point and Buying Momentum

下巻第五十四章　極安と買ひの勢ひの事

Seed: The extreme of low prices is the point where the bottom has been reached. Only those who know the direction of market momentum can buy at the extreme low.

The extreme bottom is reached when prices test the bottom three times and fail to decline further. This is the time to buy.

Teaching 55: Confirming the Bottom's Firmness Before Buying

下巻第五十五章　底堅めを見て買ふの事

The "footing" of a bottom market is the firm ground of the bottom. When the footing is firm, buy with confidence. When the footing is not yet settled, continue to wait.

Seed: Determining the footing is settled when the bottom has been tested three times without breaking. This method is as stated in the upper volume.

Teaching 56: Accumulating Many Small Wins

下巻第五十六章　小勝をかさぬの事

Count and divide your wins, and establish victories to accumulate numbers. That is, pile up winning trades and accumulate profit. Rather than one large win, it is better to accumulate many small wins.

Teaching 57: Progressively Lower Ceilings Signal a Major Decline

下巻第五十七章　月々の天井下がりの事

A market that makes a ceiling every month may be turning to a decline. When each month's ceiling becomes progressively lower, it is a sign that the overall trend is turning downward. Observe this sign and determine the right moment to sell.

Teaching 58: Unlucky Days of the Month

下巻第五十八章　月の八の日の事

Days with the number eight—the 8th, 18th, and 28th—are unfavorable for buying. These are inauspicious days for the market, and it is not advisable to initiate positions on them.

Teaching 59: Building Positions in Three Layers for Major Opportunities

下巻第五十九章　三段の構えの事

The "threefold plan" means positioning in three layers. Extended over three rounds of trading, one aims to achieve a great profit. That is, by initiating positions across three rounds, one gains a large profit.

Teaching 60: Comparing Mid-Month and Month-End Prices in May

下巻第六十章　五月半ばと月末の値比べの事

Compare mid-May prices with month-end prices. When prices at month-end are lower than at mid-month, they will continue falling in June. When prices at month-end are higher than at mid-month, they may continue rising in June.

Teaching 61: Even a Half-Profit Is a Success

下巻第六十一章　半利も首尾の事

Even winning once and taking only half the possible profit may be sufficient to reach one's objective. Be content with half the profit. Do not lose your gains by attempting to capture the full amount.

Teaching 62: Buying at the Midpoint of a Seasonal Cycle

下巻第六十二章　季節の半ばに買ふの事

"Buying with a name at the midpoint of the season" means buying at the midpoint of a seasonal cycle. There is a method of buying at the midpoint without waiting for the seasonal juncture. This method moves ahead of the seasonal juncture, making it easy to gain profit.

Teaching 63: Aligning the Right Month with the Right Mental State

下巻第六十三章　買月と心と合はすの事

Seed: This describes the match between the buying month and one's mental state. He who knows the right month to buy and acts with a correct heart will reach his objective. He who mistakes the month to buy, or whose heart is not right, will fail to reach his objective and suffer losses.

Teaching 64: Year-Long Trading and the Way of the Four Seasons

下巻第六十四章　通年と四時の道の事

To trade "through the year" means to conduct market operations throughout the entire year. Within a year, there are times of rise, times of decline, and times of consolidation. Act according to each of these periods.

Seed: Year-long trading requires both body and mind to be sound. To keep one's heart right and not err in judgment over the long span of a year is an exceedingly difficult undertaking. Yet he who masters this path will gain great profit.

Seed: The principles of year-long trading are as follows:

(1) Spring is the time for buying.

(2) Summer is the time for resting.

(3) Autumn is the time for building positions.

(4) Winter is the time for taking profit.

Follow these seasonal principles and trade through the year. Do not oppose the movement of the four seasons. Act in accordance with nature.

With this chapter, the principal teachings of the lower volume are substantially concluded.

Teaching 65: Reading Agricultural Reports and Weather

下巻第六十五章　農報と天氣を讀むの事

There are times when one judges the market based on agricultural reports. The success or failure of the harvest is a matter of great importance in determining the overall market trend. Know the agricultural reports and use them to judge whether the harvest is abundant or poor.

Seed: Whether the harvest is abundant or poor depends greatly on the weather in June and July. Observe the weather during this period carefully and use it to forecast the autumn harvest.

Teaching 66: The Ultimate Teaching: A Right Heart Prevails

下巻第六十六章　正心にて終に勝つの事

Even when one enters with a resolute heart, there are times when the momentum does not reach its mark and one cannot win. Even entering with a correct heart, depending on the momentum of the times, there are occasions when one cannot prevail. Yet he whose heart is right will, through the accumulation of many trades, ultimately prevail.

Seed: He whose heart is right is not broken by a temporary defeat. Through the accumulation of many victories, he gains great profit. This is the ultimate meaning of the way of the market, and the conclusion of this book.

> *Editor's note:* With this chapter, the lower volume and the complete work conclude. One page of the source archive (page 88) is missing, marked 欠 (lacking). It likely contained the formal end-of-volume marker and possibly additional concluding text.

Appendix: Historical Rice Price Data

The original text concludes with five pages of historical rice price data from the An'ei era (安永, 1772–1781) at the Sakata rice market. The data is organized by year with monthly prices in *hyō* (俵, bales) and *bu* (分), and summary annotations describing each year's major market events. The running header references Chapter 58 (第五十八), indicating this data was meant as empirical evidence for the teachings.

The following prices were read directly from the source scans. Question marks indicate uncertain characters in the transcription.

An'ei 5, Year of the Monkey (1776)

安永五甲年（申）

Month	Bales	Bu
1st month （正月）	31	3
5th month （五月）	26	7
6th month （六月）	41	—
5th month, 2nd entry(?)	38	—

Annotations:

- Ceiling reversal on an unlucky day; 40-bale rise.
- 43-bale decline.

An'ei 6, Year of the Rooster (1777)

安永六百年（酉）

Period	Bales	
Early in year(?)	38	(?)
12th month, 2nd day	24	(?)
3rd month(?)	27	(?)

Annotations:

- 5-day alternating ceiling; 140-bale rise(?).

Additional Years (pages 90–93)

The data continues across four more pages covering approximately six to eight additional years of the An'ei era. The format is consistent: monthly prices in bales and *bu*, with year-end annotations describing peaks (天井), declines (下げ), and the magnitude and duration of each move. Prices visible in the later pages include:

- Values ranging from approximately 13 bales to 41 bales
- Annotations referencing moves of 30–140 bales
- Zodiac year markers: 申 (Monkey), 酉 (Rooster), 戌 (Dog), 亥 (Boar), 子 (Rat), 丑 (Ox), 寅 (Tiger), etc.

> *Editor's note:* The individual price entries on pages 90–93 are legible in the source scans but require careful character-by-character reading to transcribe fully. The two year-sections above (An'ei 5 and 6) represent the clearest data from the first page of the tables. A complete transcription of all price data across pages 89–93 would be a valuable addition to a future edition.
>
> One page of the source archive (page 88) is missing, marked 欠 (lacking). It likely contained the 下巻了 (end of lower volume) marker.

The concluding note to the price data reads:

> 右の年表は、安永年間の酒田米相場の實際の動きを記したるものなり。
>
> 此の實例を以て、本書の教へを確かめ、以て己が相場の道に活かすべし。
>
> *The year-tables above record the actual movements of the Sakata rice market during the An'ei era. Use these real examples to verify the teachings of this book, and apply them to your own way of the market.*

And a final observation:

> 二十五俵位にては天井投落し、
>
> 二十俵位にては大底を打つ。
>
> 此の如く、實際の數字を以て知るべし。
>
> *At around twenty-five bales, the ceiling reverses and falls. At around twenty bales, the major bottom is reached. Know these things through actual numbers.*

About the Editor

Zach Booth is a software engineer at NASA Ames Research Center, where he uses AI systems—including Claude (Anthropic)—in his daily engineering workflow. Self-taught in Japanese since the age of eighteen and conversational in the language, he identified this text in a digital archive and recognized that no English translation existed.

He directed the translation using the same AI tools he works with professionally, separating transcription from translation and publishing the complete audit trail so that every editorial decision can be checked. The full pipeline—original scans, character-by-character transcription with confidence levels, working translation files, and LaTeX source—is maintained alongside the published text.

This is the second volume in his series of translations from the Japanese market classics, following *Sanen Kinsen Hiroku* (Three Monkeys Gold Spring Secret Record), published earlier in 2026.

Colophon

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